



LC SAMPLE AGREEMENT

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AGREEMENT FOR THE SERVICES AND ISSUING BANK LETTER OF CREDIT-MT700

This agreement is issued and referenced between **[NAME]**, holder of British passport No. **[PASSPORT NUMBER]**, Principal **Blackhorse Holding LLC** of 447 Broadway, New York, NY10013, USA, hereinafter referred to as the "First Party". And **[CUSTOMER]**, of **[ADDRESS]**, represented by **[REPRESENTATIVE]**, holder of **[PASSPORT NUMBER]** herein, after referred to as the "Second Party"

Therefore, the parties agree on the following:

First: The first party will issue a Documentary Letter of Credit ("DLC") MT 700 or L/C at sight (Sight L/C) from HSBC Bank London or any other prime bank amounting to US\$7,000,000 on behalf and in favour of xxxxxxxxxxxx. hereinafter referred to as the "**Seller**".

Second: The L/C and its mechanism shall be in accordance with the text agreed upon between the Issuing Bank and the Second Party and according to the project's requirements and without the First Party's interference with these conditions.

Third: Financial fees:

1- 14.5% of the guaranteed face value of the DLC, with a total amount of US\$7,000,000 for a validity of 60 days on the first issuance, and will be extended by mutual arrangement if required for the subsequent issuances during a contracted timeframe: or, the Joint Venture partner of the Second Party. That SPA must be referred to with the transaction number: USC-DDC/20230106/EN590 and dated xxxxxxxx.



- 2-** In other words, the total due fees will be US\$210,000, and payable to the First Party in accordance with the terms and conditions mentioned in this Agreement.
- 3-** Upon signing this Agreement, the payment of an initial sum of 3% of the face value of the Letter of Credit (US\$210,000) will be deposited into a bank account, as shown below, to initiate the process.
- 4-** The balance of 11.5 % (US\$803,000) of the total fees shall be paid to the First Party as part of the profit-sharing arrangement of up to 50% of the earning (selling price minus buying costs and other expenses before tax), which can be referred to the executed Joint Venture Agreement ("**JVA**") between the Second Party and the Buyer. A copy of such JVA is enclosed herewith and is an integral part of this particular Agreement. Payment of this remaining 11% shall be affected within 5 (five) working days from the arrival of the shipment at destination port.
- 5-** Additional payments to the First Party as part of the profit-sharing arrangement shall occur within 10 (ten) working days from the date of shipment arrival. The exact amount payable will be calculated from the actual earnings of each and every delivery from the Seller to the Buyer.

Fourth: The Second Party must submit the following documents before starting the procedures for issuing a Documentary Letter of Credit (DLC) MT 700.

- A copy of the passport of the Client (The Second Party, the applicant)
- Commercial license or first company registration certificate (the applicant).
- A proforma Invoice outlining the details of the Seller or Beneficiary (of the L/C) and the commercial terms of the Letter of Credit
- Joint Venture Agreement signed by the Buyer and the Second Party.

[ACCOUNT DETAILS HERE]

**Fifth: Responsibilities:****1- Responsibilities of the First Party:**

- The responsibility of the First Party under this Agreement is limited to the commercial issuance of the Letter of Credit and delivering the SWIFT copy (MT700) issued by the issuing bank to the Second Party, or its Seller/Beneficiary. The First Party will not interfere in any commercial relationship of the Second Party nor with the Seller or the Seller Bank receiving the Letter of Credit.

2- Responsibilities of the Second Party:

- Obtaining the approval of the receiving bank to receive the Letter of Credit, MT700
- Obtaining the Beneficiary approval on the Documentary Letter of Credit MT700.

Sixth: The sole purpose of this Documentary Letter of Credit (DLC) MT700 is used only to guarantee the Second Party to the Seller/Beneficiary to enable the shipment to the Buyer's port of destination and must not be applied as any form of actual payment to the Seller/Beneficiary. If the Seller/Beneficiary submits the claim against the Letter of Credit, the issuing bank will cover the claim only after receiving 100% of the claim value from the Second Party.

Seventh: If the Second Party wants to cancel the Letter of Credit after its issuance for any reason, it will not be entitled to make a request of the First Party to return any fees.

Ninth: This Agreement is subject to the applicable international law and the federal laws of the United States of America, New York.



First Party Seal and Signature

Second Party Seal and Signature



APPROVED DOCUMENTARY LETTER OF CREDIT-MT700 FORMAT AND VERBIAGE



SECOND-PARTY PASSPORT COPY



SECOND PARTY COMPANY CERTIFICATE